

Banks - China

Weekly Wrap: Macro slows, LPR holds, property support widens, NIM stabilizes

Industry Overview

Sector performance

H-share bank sector was up 5.2% (vs HSI +3.6%). CNCB (+8.2%) outperformed, while CEB (+2.5%) underperformed. Sector P/B: 0.56x, P/E: 6.0x, dividend yield: 5.1%. **A-share bank sector** increased 3.1% (vs CSI300 -1.0%), with CNCB (+9.0%) leading and SPDB (-0.5%) lagging. Sector P/B: 0.66x, P/E: 7.1x, dividend yield: 4.4%. Southbound investors net bought ABC, net sold MSB most among China banks.

Weekly Market Review

Macro: Premier Li Qiang said domestic demand remains insufficient and more firms face difficulties, while nine departments issued measures to boost county-level consumption, employment and entrepreneurship. July retail sales growth slowed to 0.6% YoY from 1.0% in June, industrial output growth eased to 4.5% YoY from 5.3%, and the youth unemployment rate excluding students rose to 17.9%, the highest for the same period in three years. The NBS stressed investment structure, quality and efficiency as the 7M FAI decline widened. **Monetary:** The LPR was unchanged for the 15th consecutive month, while expectations for RRR and policy-rate cuts remained divided. The onshore yuan reached its strongest level against the US dollar in more than three and a half years. **Liquidity:** The PBOC used overnight reverse repos for the third consecutive month and conducted mid-month operations for the first time. China's 10Y CGB futures reached a record high, while the US Treasury is set to double government-debt buybacks from September 9. **Capital market:** China is poised to deploy RMB800bn of new policy-based financial instruments. QFII flows showed rising foreign investment in advanced manufacturing and new materials; mainland insurers gained access to Hong Kong ETFs through Stock Connect. Panda-bond issuance exceeded RMB200bn, and auto-loan ABS issuance rose 75% YoY. Mainland China and HK tightened scrutiny of capital outflows, including source-of-funds checks. **Financials:** Banking-sector NIM edged up 1bp in 2Q. Loan-facilitation rules may tighten further, restricting banks' investment in consumer-finance ABS and nonstandard assets. Central Huijin reshuffles revived consolidation expectations. 82 unlisted small banks received capital-replenishment approvals, while the number of small rural banks fell by 670, or 18.6%, from end-2024. Bank fines reached RMB1.219bn YTD, with 178 individuals barred. One county bank equalized deposit rates across one- to three-year tenors in an industry first. Insurers' invested assets surpassed RMB40tn. Commission-rate alignment weighed on July bancassurance sales, while participating insurance boosted demand for high-yield credit. Credit-card NPL transfers fell nearly 25% YoY to RMB33.3bn YTD. **Property:** Shanghai unveiled eight property-support measures, easing provident-fund rules and expanding homebuying subsidies. China allowed voluntary contributions by self-employed workers. July home-price declines narrowed across city tiers, and all-cash purchases rose in Shenzhen and Guangzhou. **Company news:** Qingdao Rural's RMB5bn CB matured with virtually no conversion. Evergrande founder Hui Ka Yan was sentenced to life imprisonment. BOC launched China's first computing-power "token loan." PAB, BONJ, BONB, BOJS, Futu and BEA reported 1H26 results; the remaining banks under our coverage report next week.

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PBOC: People's Bank of China
NBS: National Bureau of Statistics
LPR: Loan Prime Rate
RRR: Required Reserve Ratio
CGB: China Government Bond
FAI: Fixed-asset Investment
QFII: Qualified Foreign Institutional Investor
ETF: Exchange-traded Fund
ABS: Asset-backed Securities
NIM: Net Interest Margin
BOC: Bank of China
CB: Convertible Bond

See additional abbreviations at the end of the report

Performance and valuation

Exhibit 1: China/HK banks: price performance and 12-month forward valuation

CNCB/CNCB-A/BEA outperformed, while CEB/SPDB/StanChart underperformed among H-share China banks/A-share China banks/HK banks, respectively

				Price performance						12mth forward valuation		
H-Share CN Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	1288 HK	346.6	6.28	+7.5%	+9.2%	+6.8%	+19.0%	+19.1%	+11.4%	0.60x	6.3x	4.7%
BOC	3988 HK	273.5	5.51	+4.9%	+6.1%	+8.8%	+21.2%	+31.4%	+26.9%	0.51x	6.1x	5.1%
BoComm	3328 HK	90.3	7.56	+4.3%	+5.7%	+8.4%	+12.2%	+15.1%	+20.7%	0.49x	6.0x	5.3%
CCB	939 HK	316.7	9.25	+5.8%	+8.3%	+9.6%	+18.4%	+26.2%	+23.8%	0.56x	5.8x	5.2%
ICBC	1398 HK	394.4	7.48	+4.3%	+6.5%	+9.9%	+19.9%	+32.7%	+22.2%	0.55x	6.0x	5.2%
PSBC	1658 HK	86.8	4.94	+3.0%	+0.7%	+0.5%	-0.7%	-7.2%	-2.5%	0.47x	5.8x	5.4%
CEB	6818 HK	25.8	3.05	+2.5%	-1.1%	+3.3%	-7.1%	-11.8%	-11.0%	0.27x	4.2x	7.0%
CMB	3968 HK	148.3	49.44	+3.1%	+3.1%	+10.0%	+3.3%	+6.5%	-1.7%	0.84x	6.9x	4.8%
CNCB	998 HK	66.1	8.01	+8.2%	+10.7%	+4.0%	+12.1%	+15.6%	+18.5%	0.47x	5.3x	5.8%
MSB	1988 HK	22.0	3.50	+3.2%	-0.8%	+3.3%	-13.3%	-19.5%	-9.3%	0.21x	4.7x	6.4%
QORB	3618 HK	11.1	6.60	+6.1%	+5.9%	-0.6%	+11.3%	+13.7%	+13.9%	0.43x	4.7x	6.5%
Weighted average				+5.2%	+6.6%	+8.1%	+15.7%	+21.6%	+16.8%	0.56x	6.0x	5.1%
A-share CN Banks	BBG ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	601288 CH	346.6	6.78	+4.8%	+5.4%	+4.1%	+6.2%	-2.9%	-10.0%	0.75x	8.0x	3.7%
BOC	601988 CH	273.5	6.05	+2.9%	+2.9%	+6.4%	+16.3%	+10.2%	+7.7%	0.65x	7.8x	4.0%
BoComm	601328 CH	90.3	7.12	+3.5%	+4.6%	+10.0%	+9.8%	-1.7%	+0.7%	0.54x	6.5x	4.8%
CCB	601939 CH	316.7	10.53	+2.8%	+3.3%	+6.9%	+23.5%	+18.7%	+15.8%	0.75x	7.8x	3.9%
ICBC	601398 CH	394.4	7.77	+2.8%	+2.8%	+8.7%	+11.8%	+6.5%	+0.2%	0.67x	7.2x	4.3%
PSBC	601658 CH	86.8	4.98	+1.2%	-1.4%	+3.2%	+0.1%	-16.6%	-4.7%	0.55x	6.8x	4.6%
CEB	601818 CH	25.8	3.02	+0.7%	-1.0%	-0.7%	-6.1%	-19.9%	-8.7%	0.31x	4.8x	6.1%
CMB	600036 CH	148.3	38.90	+1.1%	+2.4%	+7.6%	+3.2%	-5.7%	-2.6%	0.77x	6.4x	5.3%
CNCB	601998 CH	66.1	8.39	+9.0%	+12.2%	+9.2%	+17.3%	+9.0%	+11.8%	0.57x	6.5x	4.8%
MSB	600016 CH	22.0	3.47	+1.5%	-0.9%	-0.1%	-10.2%	-23.5%	-7.9%	0.25x	5.4x	5.5%
CIB	601166 CH	57.0	18.10	+0.4%	+1.2%	+7.1%	+0.6%	-15.3%	-9.0%	0.41x	4.9x	6.1%
SPDB	600000 CH	44.8	9.05	-0.5%	+1.1%	+7.0%	-4.2%	-31.2%	-23.8%	0.38x	5.7x	5.0%
PAB	000001 CH	32.9	11.41	+2.7%	+5.3%	+10.1%	+8.0%	-1.0%	+3.3%	0.43x	5.1x	5.4%
BOCD	601838 CH	11.8	18.65	+3.3%	+2.9%	+4.5%	+20.4%	+7.3%	+21.6%	0.76x	5.5x	5.5%
BOHZ	600926 CH	17.9	16.63	+2.1%	+7.4%	+4.9%	+4.2%	+5.9%	+10.7%	0.73x	5.3x	4.8%
BOJS	600919 CH	32.6	11.94	+2.4%	+5.5%	+8.0%	+17.3%	+11.3%	+21.0%	0.70x	5.7x	5.5%
BONB	002142 CH	33.5	34.06	+5.8%	+8.6%	+11.1%	+12.3%	+25.7%	+24.7%	0.85x	6.6x	4.1%
BONJ	601009 CH	21.7	11.78	+5.4%	+6.1%	+9.6%	+6.2%	+8.4%	+5.0%	0.68x	5.9x	5.2%
BOSZ	002966 CH	5.7	8.58	+1.3%	+7.0%	+2.9%	+5.9%	+5.8%	+5.6%	0.64x	6.4x	4.8%
QORB	601077 CH	11.1	6.81	+3.7%	+3.5%	+1.6%	+4.2%	+9.0%	+10.9%	0.52x	5.6x	5.4%
CSRB	601128 CH	3.4	6.24	+2.5%	+0.5%	-2.5%	-2.5%	-7.4%	-0.8%	0.61x	4.8x	4.5%
SHRB	601825 CH	12.6	8.76	+1.3%	+6.6%	+4.0%	+5.8%	+4.0%	-3.4%	0.60x	6.6x	5.1%
Weighted average				+3.1%	+3.6%	+6.7%	+11.0%	+3.3%	+2.0%	0.66x	7.1x	4.4%
HK Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
BOCHK	2388 HK	68.8	51.00	+1.6%	+8.4%	+11.0%	+20.5%	+44.6%	+33.9%	1.39x	12.1x	4.9%
BEA	23 HK	5.7	17.01	+3.5%	+24.1%	+21.6%	+13.2%	+31.8%	+29.6%	0.41x	8.7x	5.5%
HSBC	5 HK	356.7	162.90	+1.3%	+4.6%	+15.5%	+25.9%	+68.8%	+38.1%	1.82x	11.7x	4.3%
StanChart	2888 HK	65.3	234.00	-0.1%	+6.7%	+17.4%	+27.8%	+68.4%	+27.8%	1.30x	11.3x	2.7%
Weighted average				+1.2%	+5.6%	+15.2%	+25.3%	+65.0%	+36.1%	1.68x	11.7x	4.2%
Major indices	BBG ticker	Price		1W	1M	3M	6M	1Y	YTD			
MSCI China	MXCN Index	76.4		+1.1%	+1.9%	-2.4%	-7.9%	-6.7%	-8.0%			
HSI	HSI Index	26,009		+3.6%	+3.5%	+2.5%	-1.5%	+3.6%	+1.5%			
HK Financials	H-FIN Index	22,002		+4.3%	+3.8%	+2.8%	-1.8%	+1.8%	+2.4%			
Hang Seng TECH	HSTECH Index	4,766		+1.2%	-1.0%	-0.1%	-8.5%	-13.3%	-13.6%			
China Internet ETF	KWEB US	26.7		-0.6%	-2.7%	-5.1%	-18.4%	-23.8%	-21.6%			
SSE50	SSE50 Index	2,884		-1.1%	-3.0%	-1.3%	-5.0%	+0.7%	-4.9%			
CSI300	SHSZ300 Index	4,619		-1.0%	-2.5%	-3.4%	-0.9%	+7.7%	-0.2%			
CSI500	SH000905 Index	7,854		-1.7%	+0.7%	-6.7%	-5.4%	+17.2%	+5.2%			
S&P500	SPX Index	7,641		-2.0%	+2.7%	+2.8%	+10.6%	+19.5%	+11.6%			
NASDAQ	CCMP Index	26,067		-2.7%	+2.2%	-0.8%	+13.9%	+23.1%	+12.2%			
US banks	BKX Index	184.2		-4.6%	-1.5%	+10.5%	+8.8%	+27.9%	+12.2%			
EU banks	SX7P Index	421.5		-2.8%	+3.3%	+14.7%	+13.8%	+35.6%	+18.6%			

Source: Bloomberg; as of Aug 14, except for US/EU ones which were as of Aug 13. BBG = Bloomberg. M = month. W = week. Y = year.

Exhibit 2: China insurance, brokers, and diversified financials' price performance

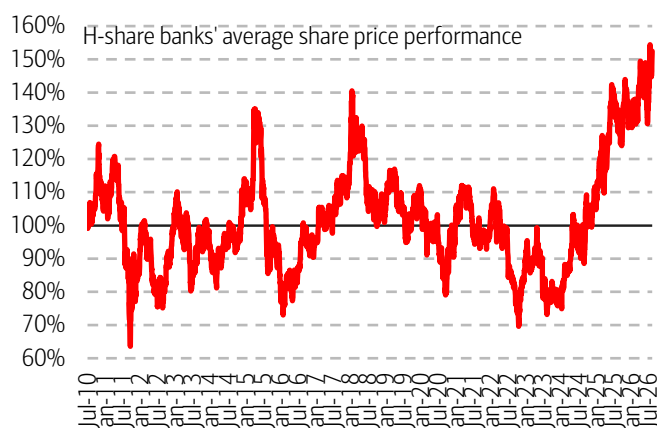
AIA/Ping An-A/Guotai Haitong Securities/CITIC Securities-A/Tiger Brokers outperformed, while Zhong An /China Life-A/Everbright Securities/Guotai Haitong Securities-A/Qifu Technology underperformed

		Price performance							
H-Share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Life	2628 HK	141.4	28.06	+4.7%	+2.2%	+0.3%	-14.2%	+18.4%	+5.2%
China Pacific	2601 HK	41.4	29.46	+3.9%	-0.7%	-4.4%	-18.0%	-16.9%	-12.7%
New China Life	1336 HK	24.6	47.84	+5.3%	-0.7%	+4.6%	-14.5%	+0.2%	-7.4%
PICC Group	1339 HK	42.6	5.28	+4.2%	+0.3%	-0.9%	-19.0%	-19.0%	-19.0%
PICC P&C	2328 HK	45.6	16.09	+5.1%	+9.2%	+12.1%	+1.0%	-7.2%	+2.0%
Ping An	2318 HK	138.0	56.20	+2.9%	-0.1%	-4.3%	-17.6%	+2.3%	-10.7%
China Taiping	966 HK	9.4	20.52	+1.2%	-3.9%	+6.8%	-9.8%	+16.2%	+17.1%
Zhong An	6060 HK	2.3	10.52	-0.2%	-2.9%	-0.7%	-33.9%	-47.6%	-34.6%
AIA	1299 HK	99.2	75.15	+6.7%	-2.3%	-10.1%	-7.1%	+4.8%	-4.3%
Weighted average				+4.5%	+0.7%	-1.9%	-13.2%	+3.0%	-4.6%
A-share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Life	601628 CH	141.4	37.03	+0.5%	-7.8%	+10.6%	-20.6%	-10.0%	-17.3%
China Pacific	601601 CH	41.4	30.42	+1.7%	-3.8%	-4.3%	-26.3%	-20.8%	-24.6%
New China Life	601336 CH	24.6	58.79	+1.7%	-5.9%	+2.7%	-21.8%	-8.6%	-12.8%
PICC Group	601319 CH	42.6	6.95	+1.3%	-4.4%	+1.2%	-20.2%	-17.9%	-20.8%
Ping An	601318 CH	138.0	53.35	+3.1%	+0.9%	+2.6%	-15.5%	-6.0%	-19.4%
Weighted average				+1.7%	-3.8%	+4.6%	-19.4%	-10.5%	-18.9%
H-Share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	6881 HK	16.6	7.72	+3.1%	+0.3%	+0.3%	-24.0%	-34.1%	-20.3%
China Merchants Securities	6099 HK	22.1	14.89	+1.6%	-2.4%	-1.1%	+5.1%	-14.6%	+10.0%
China Securities	6066 HK	25.8	11.54	+1.1%	-3.4%	+1.4%	-7.5%	-19.1%	-8.6%
CICC	3908 HK	19.9	21.04	+0.6%	-3.8%	+5.6%	-1.4%	-5.3%	+8.9%
CITIC Securities	6030 HK	60.7	26.24	+0.1%	-7.1%	+0.2%	-8.2%	-13.0%	-2.5%
Everbright Securities	6178 HK	8.9	7.25	-1.5%	-4.1%	-4.4%	-17.7%	-33.2%	-16.1%
GF Securities	1776 HK	22.4	17.59	+3.6%	+1.3%	+9.5%	+3.3%	-3.7%	+3.4%
Guotai Haitong Securities	2611 HK	43.1	15.03	+5.5%	-0.9%	+13.5%	-12.1%	-10.2%	-7.0%
Huatai Securities	6886 HK	23.9	16.97	+0.8%	-1.2%	+9.2%	-3.3%	-15.9%	-7.3%
Orient Securities	3958 HK	10.6	5.68	+2.3%	+1.2%	-1.3%	-10.1%	-29.1%	-13.7%
Weighted average				+1.9%	-2.8%	+4.3%	-7.1%	-14.9%	-3.9%
A-share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	601881 CH	16.6	12.07	-1.1%	-6.1%	-1.0%	-17.2%	-31.5%	-21.9%
China Merchants Securities	600999 CH	22.1	17.82	-1.2%	-5.9%	+4.5%	+8.3%	-2.1%	+9.4%
China Securities	601066 CH	25.8	24.78	-2.3%	-6.4%	+10.1%	+3.9%	-7.1%	-6.2%
CICC	601995 CH	19.9	34.06	-2.1%	-4.7%	-0.2%	-1.8%	-9.8%	-2.7%
CITIC Securities	600030 CH	60.7	27.12	-0.7%	-4.3%	+5.1%	-0.2%	-9.0%	-3.0%
Everbright Securities	601788 CH	8.9	14.23	-2.3%	-4.8%	-3.3%	-14.8%	-24.2%	-18.9%
GF Securities	000776 CH	22.4	20.56	-1.0%	-7.9%	+9.0%	-0.3%	+1.2%	-4.4%
Guotai Haitong Securities	601211 CH	43.1	17.38	-3.2%	-7.7%	+16.4%	-9.6%	-14.4%	-13.8%
Huatai Securities	601688 CH	23.9	18.60	-2.0%	-7.9%	+1.9%	-14.3%	-10.2%	-19.4%
Orient Securities	600958 CH	10.6	8.91	-1.8%	-2.3%	-5.6%	-10.5%	-21.8%	-16.4%
Weighted average				-1.7%	-6.0%	+5.9%	-4.2%	-11.0%	-8.1%
Diversified Financials	Bloomberg ticker	Market cap (USD bn)	Price (HKD; USD)	1W	1M	3M	6M	1Y	YTD
Futu	FUTU US	15.8	112.73	+7.8%	+14.7%	-9.6%	-26.3%	-35.9%	-30.2%
Tiger Brokers	TIGR US	1.0	5.07	+8.8%	+8.3%	-13.9%	-37.3%	-51.9%	-47.0%
Qifu Technology	QFIN US	1.4	11.45	-8.3%	-12.4%	-8.8%	-18.8%	-58.0%	-37.0%
Lufax	LU US	1.2	1.40	-7.3%	+2.9%	-21.8%	-50.4%	-49.1%	-45.3%
FinVolution	FINV US	1.0	4.40	-2.9%	-8.5%	-7.8%	-18.2%	-45.9%	-10.5%
Lexin	LX US	0.2	1.34	-6.3%	-7.6%	-31.6%	-50.9%	-76.5%	-55.4%
HKEX	388 HK	68.1	421.00	+3.6%	+5.4%	+3.3%	+4.9%	-2.0%	+4.9%
East Money	300059 CH	44.5	18.91	-2.9%	-6.8%	-5.4%	-15.0%	-29.1%	-18.0%
Weighted average				+1.7%	+2.1%	-1.7%	-6.8%	-16.9%	-8.4%

Source: Bloomberg; as of Aug 14, except for ADRs which were as of Aug 13

Exhibit 3: H-share banks' average share price at the top end of the long-term range (152% now vs 154% recent high)

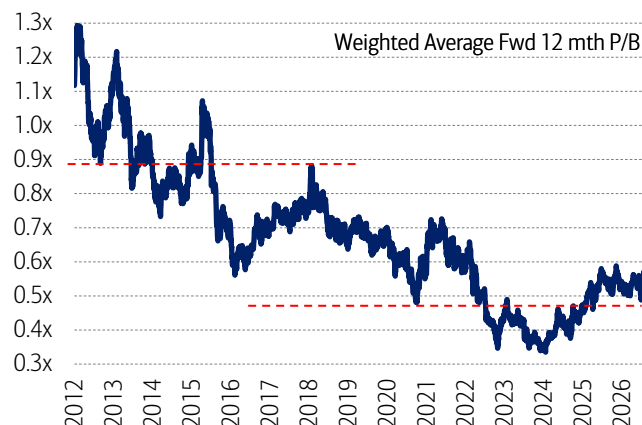
H-share banks' weighted-average stock price performance



Source: Bloomberg, share price here doesn't adjust for dividend; as of Aug 14; LT=Long Term
BofA GLOBAL RESEARCH

Exhibit 4: P/B rose from 0.53x to 0.56x WoW

H-share banks' forward P/B valuation since 2012



Source: Bloomberg, share price here doesn't adjust for dividend; as of Aug 14; LT=Long Term
BofA GLOBAL RESEARCH

A-H share premium

Exhibit 5: A-H share premium fluctuated by -3.5ppt to +1.2ppt WoW for our covered banks

A-H share premium data for dual-listed banks

	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	Average
Current	25.9%	28.2%	9.9%	32.9%	21.3%	17.7%	15.7%	-8.2%	22.3%	15.6%	20.4%	18.3%
WoW	-3.0ppt	-2.2ppt	-0.7ppt	-3.5ppt	-1.5ppt	-1.8ppt	-1.9ppt	-1.6ppt	+1.2ppt	-1.8ppt	-2.6ppt	-1.8ppt
YTD	-22.9ppt	-15.9ppt	-15.8ppt	-2.7ppt	-19.9ppt	+2.7ppt	+5.7ppt	+3.3ppt	-1.5ppt	+6.9ppt	+2.4ppt	-5.2ppt
vs 2025 avg	-7.2ppt	-9.9ppt	-9.1ppt	-4.1ppt	-18.4ppt	+1.1ppt	-7.8ppt	-4.6ppt	-1.8ppt	+2.0ppt	-1.7ppt	-5.6ppt

Source: Bloomberg, as of Aug 14. Share price here doesn't adjust for dividend.

BofA GLOBAL RESEARCH

Stock Connect Holdings

Exhibit 6: This week, southbound investors bought ABC, sold MSB most

Shanghai/Shenzhen-HK Stock Connect Holdings

Southbound holdings in H-share China banks and HK banks (% of HK shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	50.92%	35.17%	8.07%	15.19%	41.51%	30.16%	17.77%	31.57%	29.26%	28.41%	37.98%	3.98%	0.11%	8.92%	1.65%
WoW	+12bp	+4bp	+3bp	+5bp	+2bp	-12bp	-2bp	-8bp	+1bp	-18bp	-12bp	-1bp	+1bp	+2bp	+3bp
YTD	+400bp	+409bp	+71bp	+112bp	+146bp	-49bp	-83bp	+267bp	-60bp	+35bp	-134bp	+36bp	+9bp	-18bp	+19bp
Southbound holdings in H-share China banks and HK banks (% of total shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	4.47%	9.13%	3.20%	13.97%	10.11%	4.99%	3.82%	5.75%	7.83%	5.40%	8.41%	3.99%	0.13%	8.93%	1.66%
WoW	+1bp	+1bp	+1bp	+4bp	+1bp	-2bp	-0bp	-2bp	+0bp	-3bp	-3bp	-1bp	+1bp	+1bp	+3bp
YTD	+35bp	+107bp	+29bp	+104bp	+36bp	-8bp	-18bp	+49bp	-16bp	+7bp	-29bp	+38bp	+10bp	-17bp	+20bp

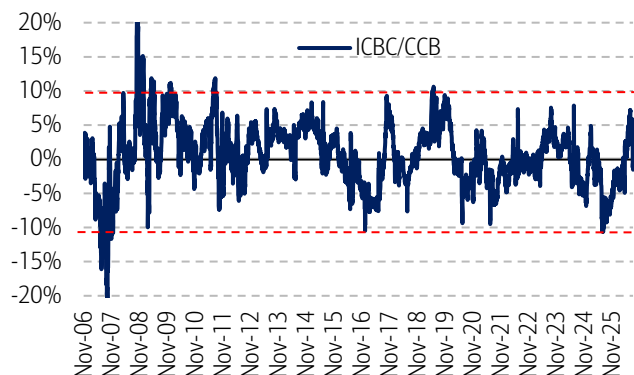
Source: Wind, as of Aug 13. Starting from 19 August 2024, Stock Connect Northbound Shareholding information will only be available on a quarterly basis.

BofA GLOBAL RESEARCH

Relative valuation

Exhibit 7: ICBC and CCB have been trading closely to each other historically

Relative P/B: ICBC's premium over CCB

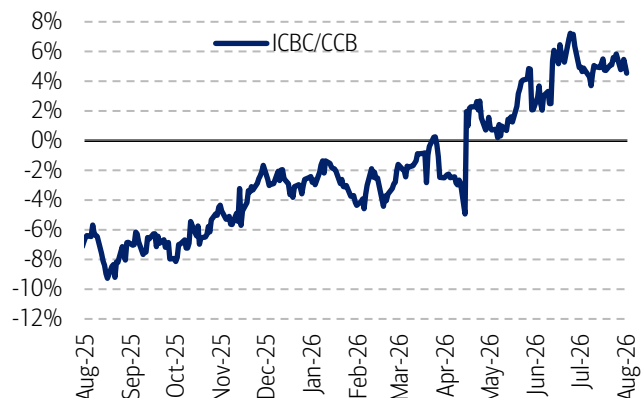


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 8: ICBC's premium to CCB narrowed from 5.8% to 4.5% WoW

Relative P/B: ICBC's premium over CCB (LTM)

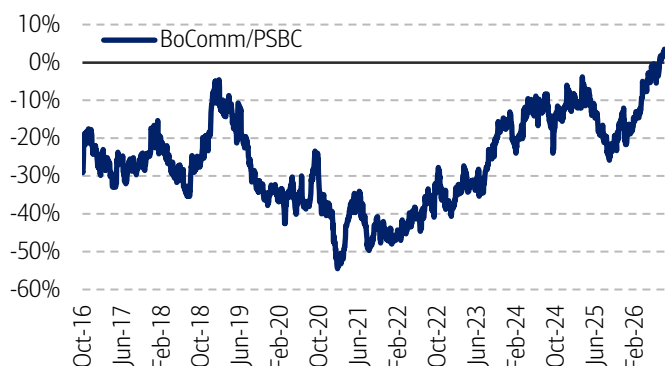


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 9: BoComm traded closely to PSBC with minor premium

Relative P/B: BoComm's discount to PSBC

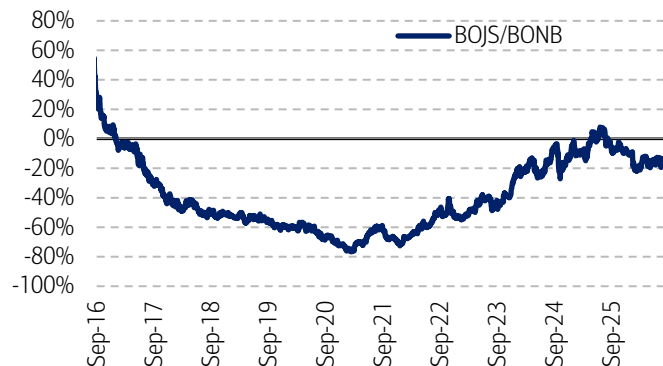


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 10: BOJS's discount to BONB was largely stable WoW

Relative P/B: BOJS's discount to BONB

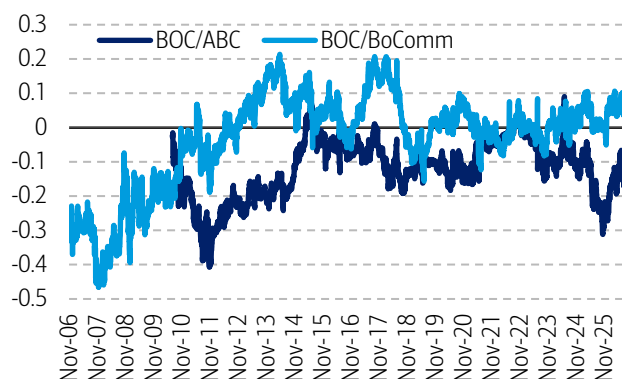


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 11: BOC's P/B was 15% lower than ABC and 5% higher than BoComm

Relative P/B: BOC's premium over ABC & BoComm

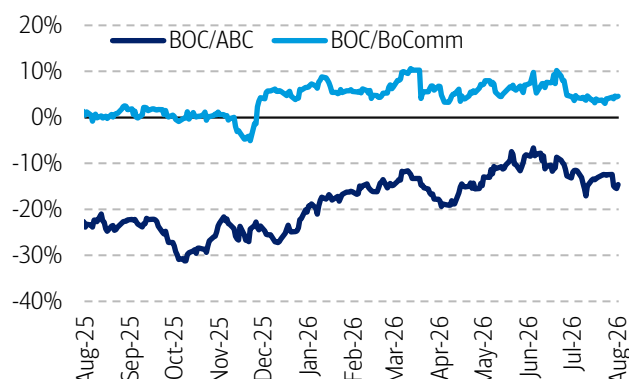


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 12: BOC's discount to ABC, premium over BoComm both enlarged WoW

Relative P/B: BOC's premium over ABC & BoComm (LTM)

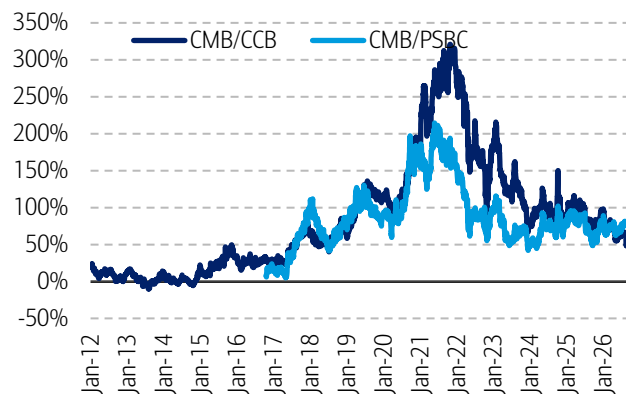


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 13: CMB's P/B was 59% and 80% higher than CCB and PSBC

Relative P/B: CMB's premium over CCB & PSBC

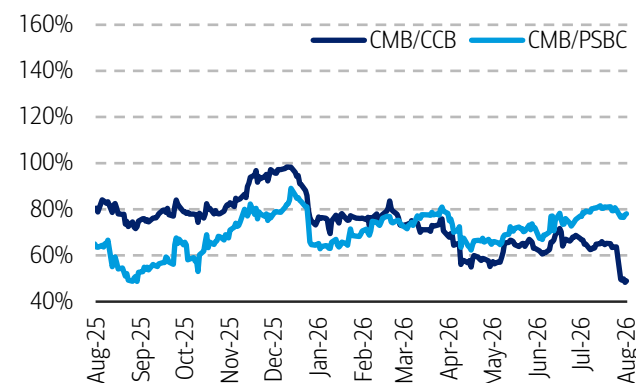


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 14: CMB's P/B premium over CCB narrowed, over PSBC unchanged WoW

Relative P/B: CMB's premium over CCB & PSBC (LTM)

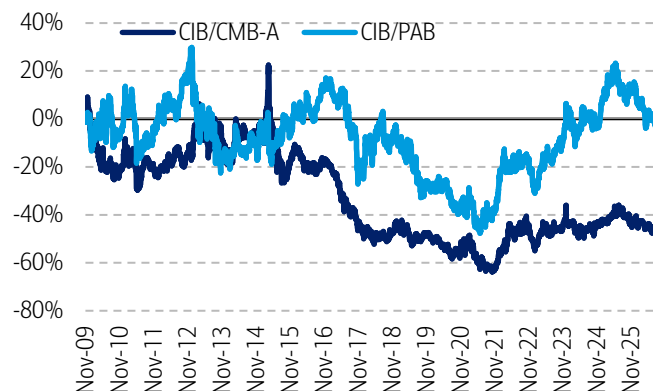


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 15: CIB's P/B was 47% and 5% lower than CMB-A's and PAB's

Relative P/B: CIB's discount to CMB-A & PAB

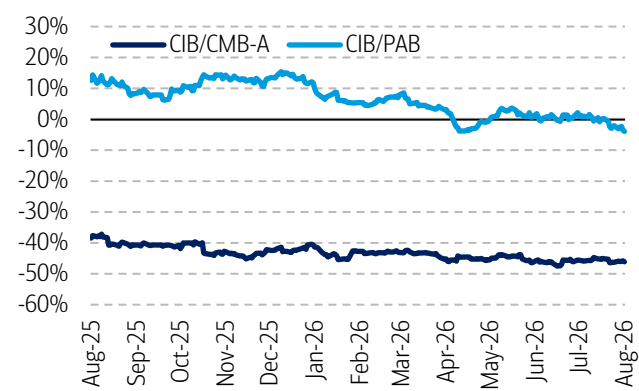


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 16: CIB's discount to CMB-A and PAB both enlarged WoW

Relative P/B: CIB's discount to CMB-A & PAB (LTM)

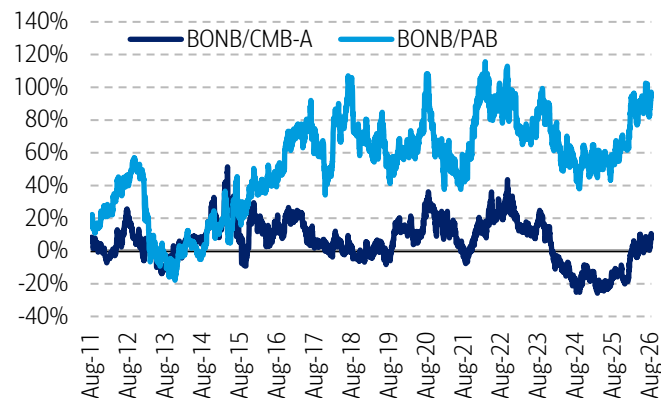


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 17: BONB's P/B was 9% and 96% higher than CMB-A and PAB

Relative P/B: BONB's premium over CMB-A & PAB

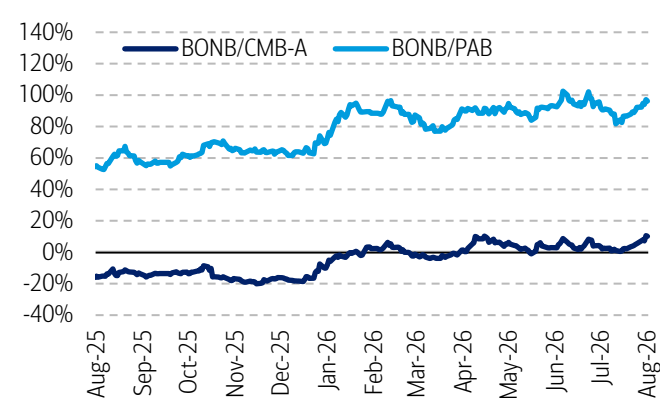


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 18: BONB's premium over CMB-A and PAB both enlarged WoW

Relative P/B: BONB's premium over CMB-A & PAB (LTM)

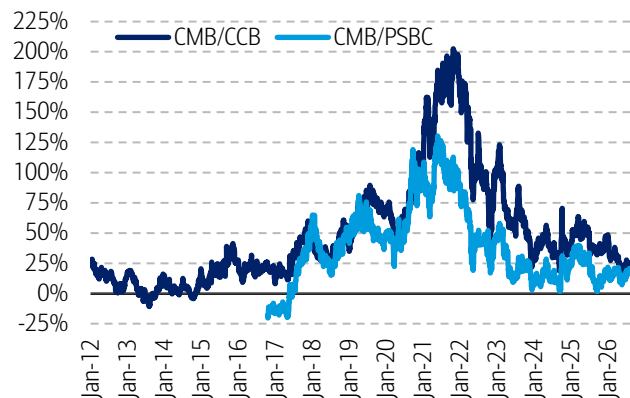


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 19: CMB's P/E was 19% and 20% higher than CCB and PSBC's

Relative P/E: CMB's premium over CCB & PSBC

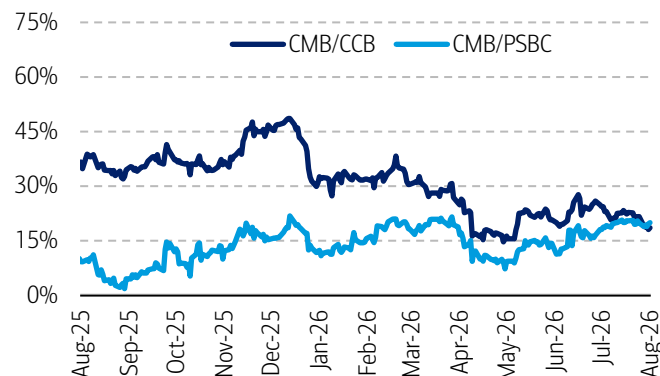


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 20: CMB's P/E premium over CCB narrowed, over PSBC unchanged WoW

Relative P/E: CMB's premium over CCB & PSBC (LTM)

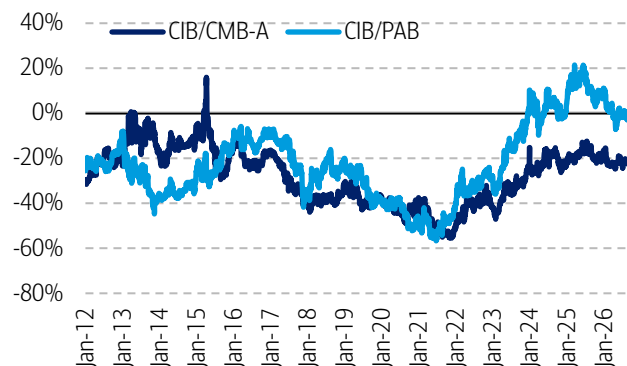


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 21: CIB's P/E was 23% lower than CMB-A's and 3% lower than PAB's

Relative P/E: CIB's discount to CMB-A and PAB

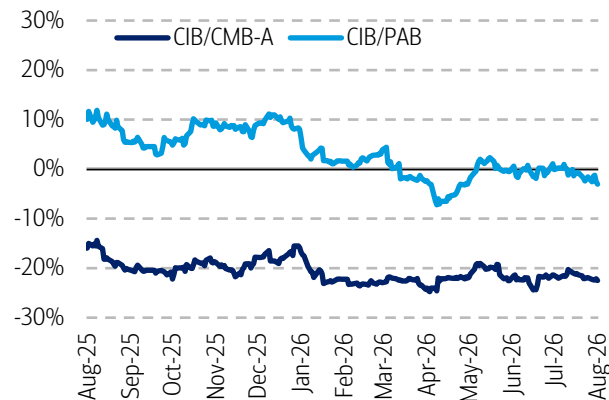


Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 22: CIB's P/E discount to CMB-A and PAB both enlarged WoW

Relative P/E: CIB's discount to CMB-A and PAB (LTM)



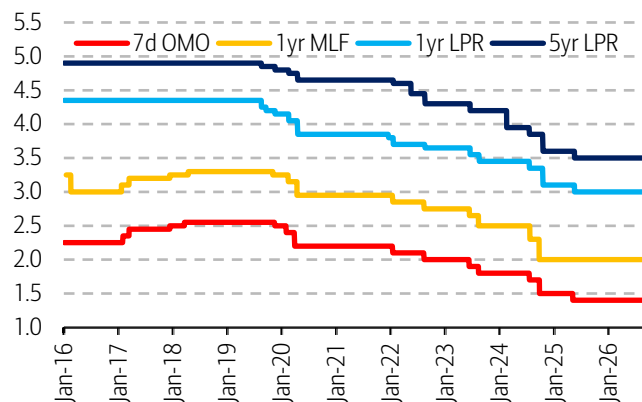
Source: Bloomberg, as of Aug 14, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Interest rates and NCDs

Exhibit 23: Major policy rate remained unchanged WoW

Major policy rate (%)

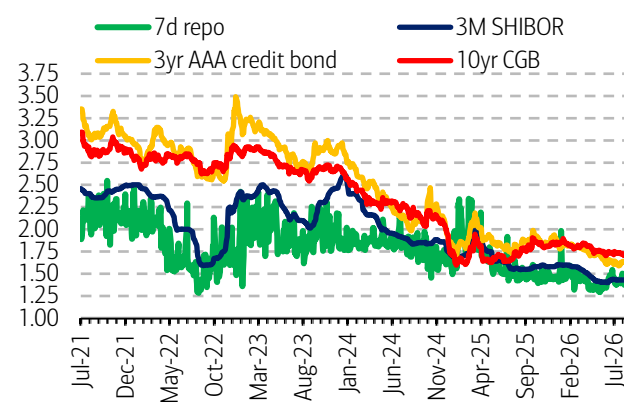


Source: Bloomberg, Wind, as of Aug 13

BofA GLOBAL RESEARCH

Exhibit 24: 3-year AAA credit bond yield rose 1bp WoW

Major policy rate (%)

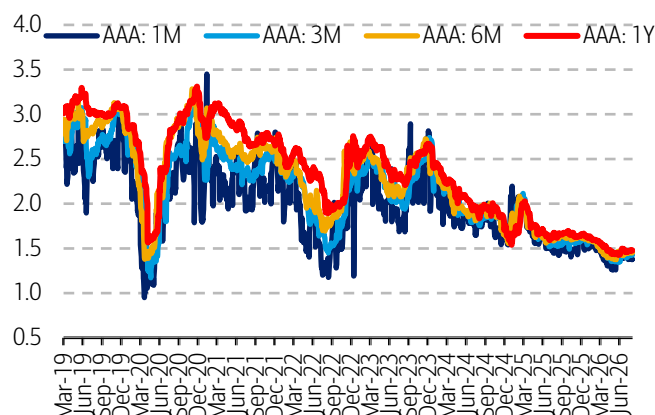


Source: Bloomberg, Wind, as of Aug 13, *CGB: China Government Bond

BofA GLOBAL RESEARCH

Exhibit 25: AAA rated NCD yields declined by 1bp for 1M&1Y tenors WoW

Yield to maturities of AAA rated NCD (%)

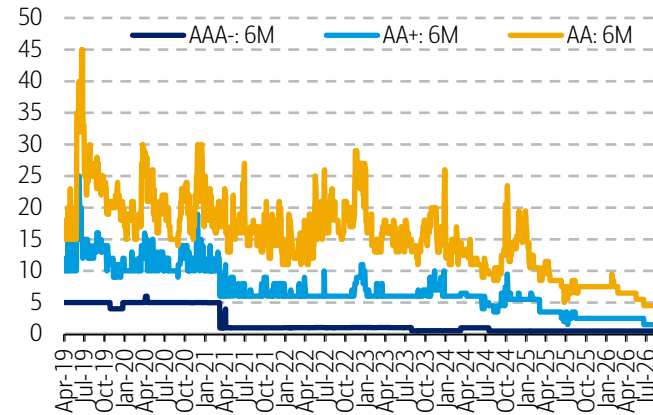


Source: CEIC, as of Aug 13, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Exhibit 26: Credit spread of AA+/AA rated NCD over AAA rated remained stable WoW

Credit spread over AAA rated NCD (bp)



Source: CEIC, as of Aug 13, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Convertible bond tracker

Exhibit 27: BOCQ is close to mandatory CB conversion price

Share price vs. convertible bond mandatory conversion price

Bank	Maturity date	Current price	Current conversion price	Mandatory conversion price	Upside to reach conversion price	Upside to reach mandatory conversion price
CIB	12/27/2027	18.10	20.13	26.17	11.2%	44.6%
CSRB	9/15/2028	6.24	5.25	6.83	-15.9%	9.4%
BOSH	1/25/2027	9.74	8.35	10.86	-14.3%	11.4%
BOCQ	3/23/2028	11.09	9.22	11.99	-16.9%	8.1%

Source: Wind, as of Aug 14, 2026

BofA GLOBAL RESEARCH

Ping An's holding in H-share banks

Exhibit 28: Ping An Asset Management bought ABC and CMB on June 30, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ABC	1/3/2025	5.03%	0.44%
ABC	2/5/2025	6.08%	0.53%
ABC	2/13/2025	7.09%	0.62%
ABC	2/19/2025	8.06%	0.71%
ABC	2/27/2025	9.04%	0.79%
ABC	3/10/2025	10.04%	0.88%
ABC	3/20/2025	11.08%	0.97%
ABC	5/6/2025	12.05%	1.06%
ABC	5/14/2025	13.02%	1.14%
ABC	5/22/2025	14.11%	1.24%
ABC	6/5/2025	15.09%	1.33%
ABC	6/13/2025	16.00%	1.41%
ABC	8/18/2025	17.07%	1.50%
ABC	9/3/2025	18.00%	1.58%
ABC	9/25/2025	19.09%	1.68%
ABC	10/16/2025	20.01%	1.76%
ABC	10/28/2025	21.02%	1.85%
ABC	11/11/2025	22.05%	1.94%
ABC	12/9/2025	23.16%	2.03%
ABC	12/11/2025	24.01%	2.11%
ABC	12/22/2025	25.01%	2.20%
ABC	12/30/2025	26.11%	2.29%
ABC	4/22/2026	27.14%	2.38%
ABC	5/6/2026	28.03%	2.46%
ABC	5/20/2026	29.20%	2.56%
ABC	6/30/2026	30.03%	2.64%
CCB	12/18/2024	5.01%	4.82%
CCB	5/6/2025	4.99%	4.80%
CMB	1/7/2025	5.00%	0.91%
CMB	2/6/2025	6.06%	1.10%
CMB	2/19/2025	7.03%	1.28%
CMB	2/27/2025	8.13%	1.48%
CMB	3/5/2025	9.01%	1.64%
CMB	3/12/2025	10.04%	1.83%
CMB	3/26/2025	11.53%	2.10%
CMB	5/6/2025	12.04%	2.19%
CMB	5/19/2025	13.17%	2.40%
CMB	5/30/2025	14.07%	2.56%
CMB	6/17/2025	15.12%	2.75%
CMB	7/28/2025	16.03%	2.92%
CMB	10/9/2025	17.05%	3.10%
CMB	10/21/2025	18.04%	3.28%
CMB	10/31/2025	19.01%	3.46%
CMB	11/17/2025	20.02%	3.64%
CMB	11/26/2025	21.13%	3.85%
CMB	12/9/2025	22.28%	4.06%
CMB	12/19/2025	23.09%	4.20%
CMB	12/30/2025	24.18%	4.40%
CMB	3/25/2026	25.03%	4.56%
CMB	6/30/2026	26.20%	4.77%
ICBC	5/23/2024	14.00%	3.41%
ICBC	7/30/2024	15.00%	3.65%
ICBC	12/13/2024	16.02%	3.90%
ICBC	1/10/2025	17.11%	4.17%
ICBC	1/20/2025	18.03%	4.39%
ICBC	2/12/2025	19.02%	4.63%
PSBC	12/24/2024	5.00%	1.00%
PSBC	2/6/2025	6.05%	1.21%
PSBC	2/19/2025	7.02%	1.41%
PSBC	3/5/2025	8.08%	1.62%
PSBC	3/18/2025	9.05%	1.81%
PSBC	5/6/2025	10.05%	2.01%
PSBC	5/20/2025	11.02%	2.21%

Exhibit 28: Ping An Asset Management bought ABC and CMB on June 30, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
PSBC	6/9/2025	12.00%	2.40%
PSBC	6/25/2025	13.02%	2.61%
PSBC	7/15/2025	14.05%	2.81%
PSBC	7/31/2025	15.06%	3.02%
PSBC	8/25/2025	16.01%	3.21%
PSBC	9/30/2025	17.03%	3.41%

Source: HKEX

BofA GLOBAL RESEARCH

China CITIC Financial AMC's holding in H-share banks**Exhibit 29: China CITIC Financial AMC kept buying BOC-H shares until Sep 5, 2025**

China CITIC Financial AMC's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
BOC	6/30/2024	12.56%	3.57%
BOC	4/30/2025	13.11%	3.72%
BOC	5/15/2025	14.07%	4.00%
BOC	5/27/2025	15.17%	4.31%
BOC	6/5/2025	16.10%	4.57%
BOC	6/13/2025	17.32%	4.92%
BOC	6/27/2025	18.02%	5.12%
BOC	9/5/2025	19.00%	5.40%
CNCB	6/23/2025	7.55%	2.02%
CEB	11/25/2025	10.04%	2.15%

Source: HKEX

BofA GLOBAL RESEARCH

Ex dividend schedule**Exhibit 30: China banks ex dividend schedule**

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
ABC	0.13	2.41%	5/4/2026	6/16/2026	1.92%	5/13/2026	5/13/2026
BOC	0.12	2.47%	7/2/2026	8/19/2026	1.93%	7/10/2026	7/10/2026
BoComm	0.17	2.59%	7/2/2026	8/14/2026	2.37%	7/10/2026	7/10/2026
CCB	0.20	2.55%	7/2/2026	8/21/2026	1.93%	7/13/2026	7/13/2026
ICBC	0.17	2.63%	5/4/2026	6/16/2026	2.17%	5/13/2026	5/13/2026
PSBC	0.10	2.25%	7/3/2026	8/19/2026	1.91%	7/13/2026	7/13/2026
CEB	0.07	2.67%	7/2/2026	8/20/2026	2.32%	7/30/2026	7/30/2026
CMB	1.00	2.36%	7/2/2026	8/21/2026	2.58%	7/10/2026	7/10/2026
CNCB	0.19	2.80%	5/18/2026	7/6/2026	2.30%	6/10/2026	6/10/2026
MSB	0.05	1.76%	6/22/2026	8/10/2026	1.53%	7/2/2026	7/2/2026
CIB	0.50				2.77%	6/12/2026	6/12/2026
SPDB	0.42				4.64%	7/16/2026	7/16/2026
PAB	0.36				3.16%	6/12/2026	6/12/2026
BOCD	0.92				4.94%	7/13/2026	7/13/2026
BOHZ	0.28				1.68%	6/15/2026	6/15/2026
BOJS	0.23				1.95%	7/10/2026	7/10/2026
BONB	0.90				2.64%	7/16/2026	7/16/2026
BONJ	0.22				1.89%	6/15/2026	6/15/2026
BOSZ	0.15				1.75%	6/24/2026	6/24/2026
CQRB	0.12	2.07%	6/8/2026	7/27/2026	1.73%	6/16/2026	6/16/2026
CSRB	0.11				1.75%	6/9/2026	6/9/2026
SHRB	0.12				1.34%	6/29/2026	6/29/2026

Source: company reports, Bloomberg; as of Aug 14, *those who have distributed 1H25 dividend will only distribute 2H25 dividend this time. TBC = to be confirmed.

BofA GLOBAL RESEARCH

Bank 1H26 reporting/briefing schedule

Exhibit 31: HK/China bank 1H26 reporting schedule

Banks to report 1H26 results from mid Aug to late Aug

Bank	H-share ticker	A-share ticker	Result Date (tentative)	Briefing Date (HKT)	1H26 post result events (BofA host)
PAB		000001 CH	2026/8/14, Fri	8/17/2026 15:00	
BONJ		601009 CH	2026/8/18, Tue	8/20/2026 10:00	
BOJS		600919 CH	2026/8/19, Wed	8/28/2026 9:00	8/25/2026 16:00
BONB		002142 CH	2026/8/19, Wed		
CNCB	998 HK	601998 CH	2026/8/26, Wed	8/27/2026 9:30	9/1/2026 10:00
BOCD		601838 CH	2026/8/26, Wed		
BOHZ		600926 CH	2026/8/26, Wed		9/3/2026 14:00
BOSZ		002966 CH	2026/8/26, Wed		
CSRB		601128 CH	2026/8/26, Wed		
CIB		601166 CH	2026/8/27, Thu	8/28/2026 10:00	9/4/2026 11:00
SHRB		601825 CH	2026/8/27, Thu	8/28/2026 8:45	9/3/2026 10:00
SPDB		600000 CH	2026/8/28, Fri	8/31/2026 15:00	
ABC	1288 HK	601288 CH	2026/8/28, Fri	8/28/2026 17:00	8/31/2026 14:00
BOC	3988 HK	601988 CH	2026/8/28, Fri	8/28/2026 17:00	9/4/2026 15:00
BOCHK	2388 HK		2026/8/28, Fri		
BoComm	3328 HK	601328 CH	2026/8/28, Fri	8/28/2026 17:00	9/1/2026 14:00
CCB	939 HK	601939 CH	2026/8/28, Fri	8/28/2026 17:30	9/2/2026 10:00
ICBC	1398 HK	601398 CH	2026/8/28, Fri		9/2/2026 14:00
PSBC	1658 HK	601658 CH	2026/8/28, Fri	8/28/2026 17:30	9/3/2026 16:00
CEB	6818 HK	601818 CH	2026/8/28, Fri	8/28/2026 17:00	
CMB	3968 HK	600036 CH	2026/8/28, Fri	8/31/2026 9:30	9/1/2026 16:00
MSB	1988 HK	600016 CH	2026/8/28, Fri		9/7/2026 16:00
CQRB	3618 HK	601077 CH	2026/8/28, Fri		8/31/2026 16:00

Source: Wind, as of Aug 14

BofA GLOBAL RESEARCH

Bank abbreviations

ABC: Agricultural Bank of China

BOC: Bank of China

BoComm: Bank of Communications

CCB: China Construction Bank

ICBC: Industrial and Commercial Bank of China

PSBC: Postal Savings Bank of China

CEB: China Everbright Bank

CMB: China Merchants Bank

CNCB: China CITIC Bank

MSB: China Minsheng Bank

CIB: China Industrial Bank

SPDB: Shanghai Pudong Development Bank

PAB: Ping An Bank

BOCD: Bank of Chengdu

BOHZ: Bank of Hangzhou

BOJS: Bank of Jiangsu

BONB: Bank of Ningbo

BONJ: Bank of Nanjing

BOSZ: Bank of Suzhou

BOCQ: Chongqing Bank

BOSH: Bank of Shanghai

CQRB: Chongqing Rural Commercial Bank

CSRB: Changshu Rural Commercial Bank

SHRB: Shanghai Rural Commercial Bank

BEA: Bank of East Asia

BOCHK: Bank of China (Hong Kong) Limited

StanChart: Standard Chartered



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